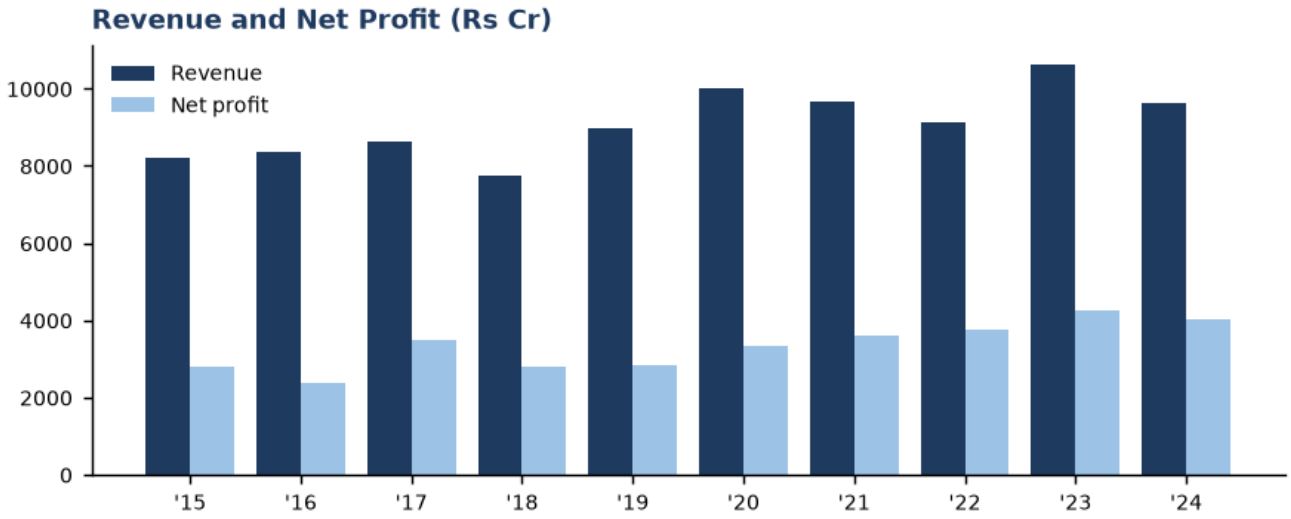
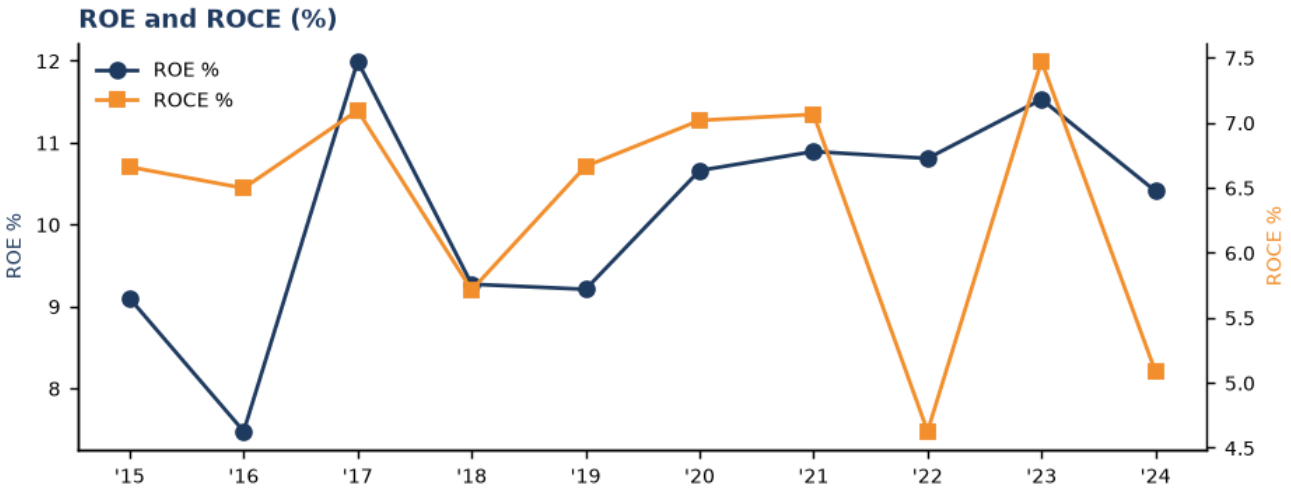
NHPC Ltd

NHPC | Energy | Power & Utilities | Latest financial year: 2024-03

ROE	ROCE	Net profit margin
10.4%	**5.1%**	**41.8%**

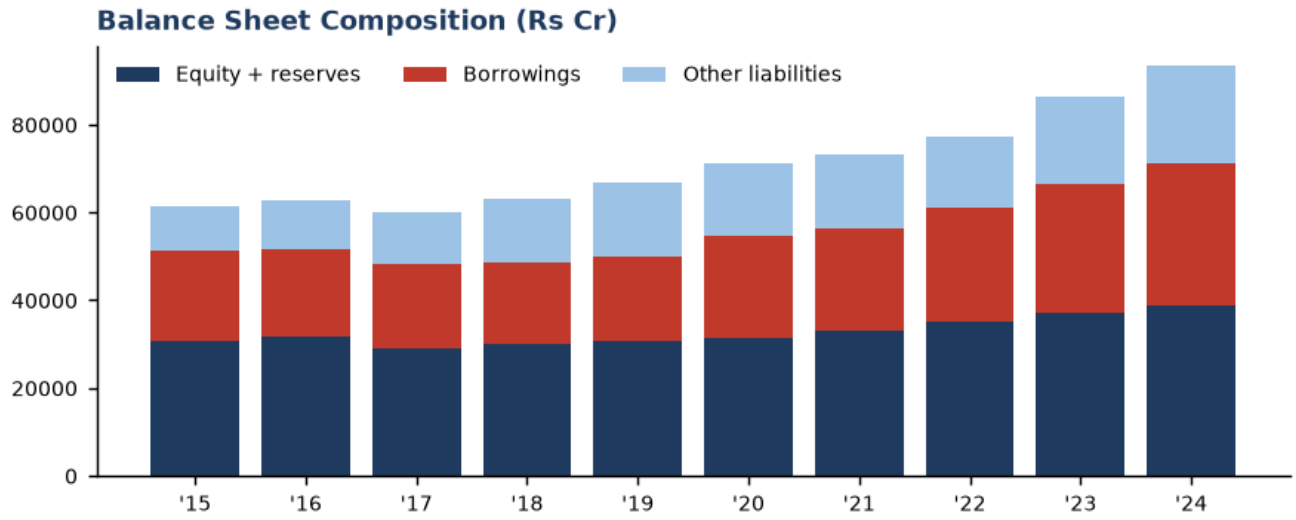
Debt / equity	Revenue CAGR 5yr	Free cash flow (Rs Cr)
0.84	**1.4%**	**970**

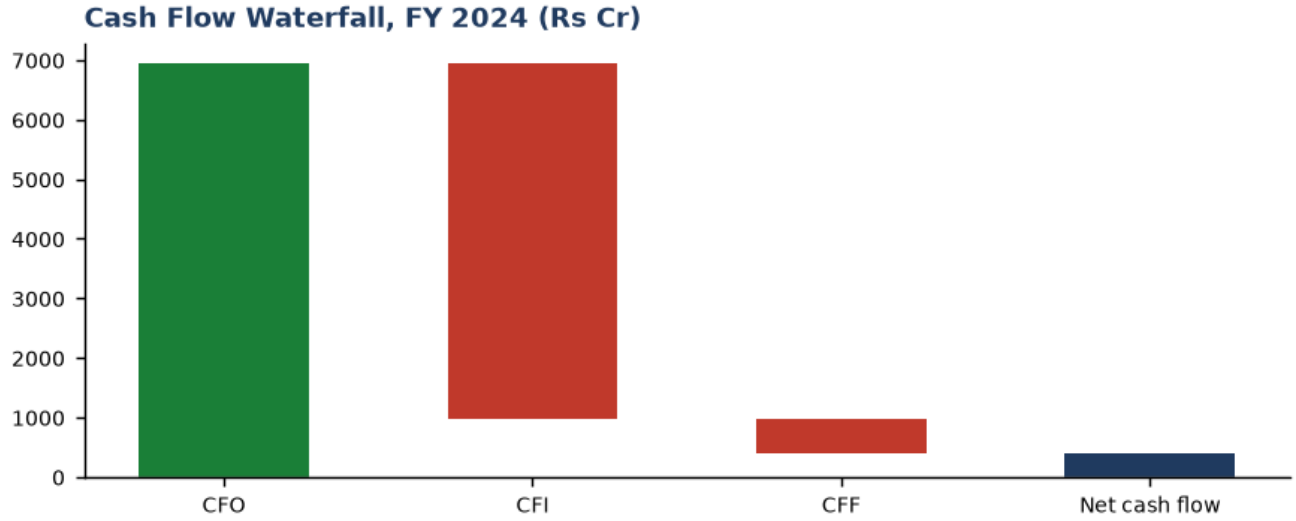




NHPC Ltd

NHPC | Balance sheet, cash flow and qualitative view





Key strengths and concerns (auto-generated, with confidence)

Pros

- Operating profit margin above 25% indicates strong pricing power and cost discipline (100%)
- Strong free cash flow generation over 5 years signals healthy business fundamentals (96%)
- Revenue growing slower than profits shows improving operating leverage and scale benefits (84%)
- Very high interest coverage ratio reflects negligible financial stress from debt servicing (62%)

Cons

- Net debt exceeding 3 times EBITDA is a high leverage ratio and limits financial flexibility (100%)
- Revenue growing at below 5% over 5 years lags inflation and suggests limited business momentum (89%)
- Return on capital employed below 10% suggests the business is not generating sufficient returns on invested capital (80%)
- Rising debt-to-equity ratio over 3 years suggests increasing financial leverage risk (65%)

Capital allocation: Shareholder Returns

Pros and cons are generated from KPI threshold rules and are not investment advice. Ratios use annual filings; market data is simulated.